

An aerial photograph of New York City at sunset. The Empire State Building is the central focus, its top illuminated. Other skyscrapers like the Freedom Tower are visible in the background. The city streets below are filled with cars, and the Hudson River is on the right. The sky is a mix of orange, yellow, and grey clouds.

Essays in Political Economy

New York as a Living Capital Ecosystem

*On Inequality as Mechanism, Network Logic, and
the Limits of Democratic Governance over Mobile
Capital*

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Introduction

THE FIRST THING ONE NOTICES IN NEW YORK is the density. Not of buildings, exactly, though the buildings are part of it, but of everything happening at once. Finance and fashion and art and media and capital are not just located in the same city; they are unfolding in the same square mile, at the same hours, around the same people. A gallery opening five blocks from a hedge fund headquarters, an editorial shoot crossing paths with a deal closing, a couture fitting two doors down from a law firm structuring a sovereign-wealth investment. The city does not present itself as a collection of separate industries. It presents itself as one continuous environment in which the boundaries between sectors have effectively dissolved.

What is harder to see, standing inside it, is that this density is not an accident of geography or a happy convergence of unrelated industries. It is the visible surface of a single underlying system: a self-reinforcing capital ecosystem in which the wealth concentration, the cultural dominance, the global power, and the extreme inequality of the city are not separate phenomena but expressions of the same operating logic. The network attracts the people who deepen the network. The deepening raises the premium for being present. The premium filters who can sustain that presence. The filtering concentrates the network further. The process compounds, and over time it produces both the influence the city is celebrated for and the inequality the city is criticised for.

This essay argues that those two outputs cannot be separated. The inequality is not a side effect of New York's global power; it is the mechanism through which the global power is produced and maintained. Remove the filter and the result is not a more equal New York. The result is a city whose network thins until it is no longer worth the premium, and an ecosystem that relocates to wherever the underlying conditions are more favourable. The ecosystem was never, properly speaking, the city's. New York is only its current address. The historical record contains exactly three previous addresses—Amsterdam, then London, then New York—and no examples of permanent residence.

The argument unfolds across eight movements. The first establishes what the ecosystem actually consists of and why density compounds. The second develops the filtering mechanism that maintains the network, and the symbiotic stratification it produces. The third reframes the governance question from one of regulatory failure to one of structural dependence. The fourth distinguishes between the kinds of pressure the ecosystem absorbs and the kinds it does not. The fifth tracks the partial migration already visible in post-2020 financial sector data. The sixth situates that migration within a four-hundred-year pattern of financial-centre succession. The seventh develops the mortality argument through the Detroit parallel. The eighth closes on what it means, for political economy as a discipline, that the entity it is attempting to govern is not the city itself but a mobile network the city currently houses. Throughout, New York is treated not as a place that contains inequality but as the visible surface of an inequality-producing system, whose logic is networked rather than territorial.

I. The Ecosystem

New York is not a set of landmarks, institutions, or industries. It is the concentration of all of them in one place, and the way that concentration begins to behave as something almost alive. Finance, law, media, fashion, art, publishing, and academia do not merely exist side by side here but constantly overlap and amplify one another. Each industry draws strength from proximity to the others, generating effects that none of them could produce alone. New York, in this sense, is less a place than a machine for producing scale—a system in which ambition, capital, and cultural gravity compound until the city becomes substantially more than the sum of its parts.

The analytical task, then, is to identify the ecosystem correctly, because most confusion about New York begins with a misidentification of the object. The ecosystem is not the buildings; the Empire State Building is real estate. It is not the firms; Goldman Sachs is a firm. It is not the cultural institutions; the Metropolitan Museum is a museum. What makes New York New York is the density of all of these together, and the compounding that results from their proximity.

Saskia Sassen first formalised this insight in “The Global City” (1991), and her framing has held up because it identifies what conventional urban analysis tends to miss. Global cities, she writes, are not merely places where capital happens to concentrate; they have assumed a “new strategic role” as “highly concentrated command points in the organization of the world

economy.”¹ The mechanism is counterintuitive but consistent: “the more globalized the economy becomes, the higher the agglomeration of central functions in a relatively few sites, that is, the global cities.”² Globalisation, in other words, does not disperse power; it concentrates it. The technologies that were supposed to flatten geography have instead made the remaining nodes more, not less, indispensable. Sassen frames the global city as a production site rather than a coordination hub: “the ‘things’ a global city makes are services and financial goods.”³ The city does not merely house the activity. It manufactures the conditions under which the activity can occur at scale.

The economic mechanism beneath this is what is conventionally called agglomeration: the tendency of certain forms of economic activity to become more valuable when concentrated in space rather than dispersed. Edward Glaeser’s “Triumph of the City” (2011) is, in effect, a four-hundred-page exploration of this single insight. Workers in dense urban networks, Glaeser observes, earn approximately thirty percent more than their non-urban counterparts—not because they are individually more talented, but because the network around them is more productive.⁴ The productivity differential is structural rather than personal.

Glaeser invokes Alfred Marshall’s formulation that in dense industrial concentrations “the mysteries of the trade become no mystery but are, as it were, in the air,” and notes that even the most digitally enabled industries—precisely the ones that ought, in principle, to be most location-indifferent—continue to cluster intensely. “Silicon Valley and Bangalore,” he writes, “remind us that electronic interactions won’t make face-to-face contact obsolete... Technology innovators who could easily connect electronically pay for some of America’s most expensive real estate to reap the benefits of being able to meet in person.”⁵ The puzzle that motivates Glaeser’s book is that a world in which information has become nearly free to transmit at any distance has nevertheless produced a more, not less, geographically concentrated economy.

If Sassen identifies the global city as a strategic command site and Glaeser explains why density continues to compound returns even under digital diffusion, Enrico Moretti supplies the precise mechanism through which the compounding occurs. His work on human capital externalities formalises the spillover effect. Moretti finds that “a one percentage point increase in college share in a city raises average wages by 0.6–1.2%, above and beyond the private return to

¹Saskia Sassen, *The Global City: New York, London, Tokyo* (Princeton: Princeton University Press, 1991), p. 4.

²Sassen, *The Global City*, p. 5.

³Sassen, *The Global City*, p. 6.

⁴Edward Glaeser, *Triumph of the City* (New York: Penguin Press, 2011), ch. 1.

⁵Glaeser, *Triumph of the City*, ch. 1.

education,” and that this gain extends even to workers without college degrees: “a one percentage point increase in the labor force share of college graduates increases the wages of high-school drop-outs and high-school graduates by 1.9 and 1.6%, respectively.”⁶ The implication is structural. The network produces returns that no individual participant can fully internalise, which is precisely why both firms and workers continue to cluster even when the costs of doing so are extreme.

These externalities, Moretti notes, are sharply local: they “tend to disappear for distances further than a 90 minute trip,” meaning the spillovers responsible for the network’s productivity cannot be replicated at a distance.⁷ The value lives in the proximity, not in the talent considered abstractly.

Taken together, Sassen, Glaeser, and Moretti establish a structural reality that political economy frameworks built on the nation-state struggle to register. New York’s value is not legible at the level of individual transactions because it is a property of the network as a whole. The firms and individuals are the medium through which the network expresses itself; they are not the entity political economy ought to be analysing. The conventional treatment of New York as a container of capital—a jurisdiction within which firms and individuals make decisions—inverts the relationship. The city is the operative entity; the capital is what flows through it.

A useful analogy here is academic. Harvard is not its buildings, and Harvard is not, strictly speaking, even its faculty considered as individuals. Harvard is the network—the selectivity that attracts the best applicants, the applicants who produce outcomes that justify the selectivity, the outcomes that maintain the brand, and the brand that drives the next round of applications. The institution does not make the people; the people make the institution; but the institution selects who is permitted to become one of the people who makes it. The arrangement is recursive, self-sustaining, and structurally resistant to anyone who would democratise its admissions. To flatten the selectivity would not democratise Harvard. It would dissolve what makes it Harvard.

New York operates on the same logic. It did not become the dominant global city through geography—Boston has superior universities, San Francisco a more temperate climate, Singapore a more efficient state. It became dominant because finance chose it, finance attracted talent, talent attracted further capital, capital made the city expensive, expense filtered who could remain, filtering concentrated the network further, and the loop closed and became self-

⁶Enrico Moretti, “Human Capital Externalities in Cities,” in *Handbook of Regional and Urban Economics*, vol. 4, ed. J. Vernon Henderson and Jacques-François Thisse (Amsterdam: Elsevier, 2004), 2243–2291.

⁷Moretti, “Human Capital Externalities in Cities.”

sustaining. The brand became the product. The network became the moat. Sassen is direct about the durability of this arrangement: global cities, she writes, “contain both the most vigorous economic sectors and the sharpest income polarization.”⁸ The vigour and the polarisation are not separable findings. They are the same finding.

One further dimension distinguishes New York from any of its plausible competitors: it is the only city that compounds financial, cultural, creative, and institutional density simultaneously at comparable scale. London has finance. Singapore has finance. Neither has the Metropolitan Museum, Broadway, the global art market, Fashion Week, the major publishing houses, and the legal infrastructure for transnational corporate practice all operating in the same place and feeding one another.

The compounding matters because the financial system and the cultural system are not, in New York, parallel structures sharing a postcode; they are mutually reinforcing. Finance requires the cultural world for legitimacy, status signalling, and talent attraction; the cultural world requires finance for patronage, investment, and infrastructure. The Met Gala is funded by the wealth that finance produces; the social capital that finance generates is denominated, in part, in cultural participation. This is the structural reason the most ambitious participants in any of the constituent industries gravitate, eventually, toward New York. It is the moat that London and Singapore cannot cross at current scale, and it is what makes New York’s network depth genuinely irreplaceable—not as a matter of cultural preference but as a matter of structural composition.

Underpinning all of this is the concentration of wealth itself. A significant portion of the system is ultimately oriented around the preferences, signals, and social dynamics of an extremely wealthy population whose taste is highly curated and culturally influential. Their spending shapes what gets funded, what gets celebrated, and what becomes visible at scale. The cultural production of the city, in this sense, is not independent of capital; it is refined through capital, guided by capital, and amplified by capital. The art market depends on collectors; the fashion houses depend on couture clients; the cultural institutions depend on donors. The ecosystem’s cultural output is not a free-floating creative phenomenon. It is the visible surface of an underlying capital concentration whose preferences become the city’s aesthetic in real time.

⁸Sassen, *The Global City*, p. 338.

II. The Filter

If the ecosystem is the entity, the filter is the mechanism by which the entity maintains itself. The clearest economic articulation of the filter appears in Joseph Gyourko, Christopher Mayer, and Todd Sinai's "Superstar Cities" (2013), which models the dynamic with unusual precision. "In places that are desirable but have low rates of new housing construction," they write, "families with high incomes or strong preferences for that location outbid lower willingness-to-pay families for scarce housing, driving up the price of the underlying land."⁹ The price, on their account, is not incidental to the city's desirability. It is the clearing mechanism through which the city selects who is permitted to remain.

"Land prices act as a clearing mechanism," they continue, "so lower-income households are disproportionately excluded from cities that have limited supply, leaving behind concentrations of higher-income households. In this sense, living in a superstar city is like owning a scarce luxury good."¹⁰ The framing is precise. Access to the city operates on the logic of a luxury market. Price is not a tax on entry; price is the product.

Two features of this framing matter for the present argument. The first is that the filter is not a one-time event at the city's perimeter but a continuous selection pressure that operates at every level of participation—every rent renewal, every restaurant bill, every school tuition, every social membership, every co-op board vote. The city does not merely filter who can enter; it filters who can remain, who can deepen their participation, and who eventually joins the network rather than merely passing through it. Gyourko, Mayer, and Sinai document this empirically: "recent movers into superstar cities tend to be higher-income, on average, than recent movers into other cities, and recent movers out of superstar cities are drawn disproportionately from the bottom tail of the city's income distribution."¹¹ The filter is permanent and ongoing. The city is always in the process of selecting and de-selecting participants.

The second feature is that the price is not a reward for amenity or productivity. It is the consequence of sorting under scarcity. "House prices do not rise in superstar cities because there is increasing value from amenities or productivity benefits," the authors argue. "Instead, the composition of families living in superstar cities shifts to those who are willing to pay more as

⁹Joseph Gyourko, Christopher Mayer, and Todd Sinai, "Superstar Cities," *American Economic Journal: Economic Policy* 5, no. 4 (2013): 167–199.

¹⁰Gyourko, Mayer, and Sinai, "Superstar Cities."

¹¹Gyourko, Mayer, and Sinai, "Superstar Cities."

high-income families become more numerous.”¹² Taken to its limit, the dynamic produces “communities that are affordable only by the rich, just as exclusive resort areas have done.”¹³ The endpoint of the filtering mechanism, on the authors’ own model, is a city whose membership becomes increasingly homogeneous at the top of the income distribution while continuously expelling participants from the bottom.

The empirical contours of this filter in present-day New York are stark. Manhattan’s Gini coefficient stands at approximately 0.60, comparable to Suriname and well above the United States national figure of 0.49—a level of inequality more commonly associated with developing economies than with the financial capital of the world’s largest one.¹⁴ New York City is home to roughly 110 billionaires—the largest concentration in any city on earth, on Forbes’s count—with a combined net worth of around \$694 billion.¹⁵ It contains approximately 350,000 millionaires, meaning that roughly one in every twenty-four residents holds that status, a figure that has grown by nearly forty-eight percent over the past decade.¹⁶ These numbers are not curiosities. They are evidence that the filtering mechanism is operating with unusual intensity in this particular city, and that the sorting Gyourko, Mayer, and Sinai describe is not slowing.

Richard Florida states the resulting logic in plain terms: “the rich live where they choose, and the poor live where they can.”¹⁷ Florida treats this as a tragedy; the present argument treats it as a mechanism, and the difference matters analytically. The tragedy framing implies that the situation could, in principle, be rectified through redistributive policy without altering the underlying value proposition of the city. The mechanism framing implies the opposite: the filter is not a malfunction overlaid on a functioning city but a constitutive feature of how the city functions. To remove the filter would not produce a more equal New York. It would produce a different and less valuable network.

Sassen makes the structural form of this argument explicit. The luxury economy and the low-wage service economy are not parallel systems that happen to share a geography but

¹²Gyourko, Mayer, and Sinai, “Superstar Cities.”

¹³Gyourko, Mayer, and Sinai, “Superstar Cities.”

¹⁴Social Explorer, “Manhattan Income Gap Exceeds Third World Levels,” analysis for *The New York Times* based on the U.S. Census Bureau’s 2022 American Community Survey. New York County’s Gini coefficient was 0.60, against a national figure of 0.49.

¹⁵“The Cities With the Most Billionaires 2024,” *Forbes* World’s Billionaires List, April 2024. New York ranked first among all cities, with roughly 110 resident billionaires and a combined net worth of about \$694 billion. Billionaire counts vary by methodology; the resident-wealth count reported by Henley & Partners is lower.

¹⁶Henley & Partners and New World Wealth, *World’s Wealthiest Cities Report 2024*. New York held roughly 349,500 millionaires—about one in twenty-four residents—up 48% over the prior decade.

¹⁷Richard Florida, *The New Urban Crisis* (New York: Basic Books, 2017), 122.

constituent parts of a single arrangement. The high-income population produces a “vast supply of low-wage jobs” in its residential and commercial settings, accompanied by an increase in “expensive restaurants, luxury housing, luxury hotels, gourmet shops, boutiques” that emerge to serve it.¹⁸ The conspicuous consumption that defines the ecosystem’s upper tier, she argues, performs a structural function: it “serves a strong ideological function of securing the alliance of these workers to a system for which they produce immense profits in exchange for relatively low returns.”¹⁹ The luxury economy and the service economy are not in tension. They are mutually constitutive. The existence of one produces the necessity of the other.

From this follows a more difficult but more precise argument about stratification. Two dominant framings tend to organise discussions of urban inequality: common progressive framings treat the lower rungs of a stratified urban economy as victims of extraction by the higher rungs, while common conservative framings treat them as participants in natural market sorting. A more careful reading suggests a third category, which can be termed symbiotic stratification: a recognition that participants at multiple levels of the hierarchy are, in many cases, genuinely invested in the system within which they occupy their roles, and that the relationship between, for instance, a household principal and a long-tenured housekeeper is not adequately captured by extraction language.

The theoretical resources for developing this third category are already available in the sociological literature. Pierre Bourdieu’s analysis of habitus describes how individuals come to internalise the dispositions of the social position they occupy, such that their position no longer feels imposed from outside but emerges as a coherent set of preferences, identifications, and forms of self-understanding. It must be acknowledged that this inverts the use to which the concept is most often put: in Bourdieu’s own work, habitus more frequently names the mechanism by which domination is internalised and misrecognised as natural, so that the disposition which feels like authentic preference is, on the critical reading, the deepest form of the imposition.²⁰ The argument here runs deliberately against that grain—not to deny that misrecognition occurs, but to insist that internalisation and authentic investment are not mutually exclusive, and that a frame which can read only the former is empirically impoverished. The housekeeper who takes pride in the precision of her work, the doorman who has known

¹⁸Sassen, *The Global City*, p. 10.

¹⁹Sassen, *The Global City*, p. 335.

²⁰Pierre Bourdieu, *The Logic of Practice* (Stanford: Stanford University Press, 1990); and *Distinction: A Social Critique of the Judgement of Taste* (Cambridge, MA: Harvard University Press, 1984). On habitus as the internalisation and misrecognition of domination, see esp. *Distinction*.

three generations of a family, the *maître d'* who has cultivated relationships with a regular clientele over decades—these participants are not, on this reading, simply being exploited by a system that has falsely persuaded them to identify with their roles. They are participants whose *habitus* has formed in coherent relation to their position, such that meaning, dignity, and continuity are genuinely available to them within it.

Erving Goffman's analysis of role performance complements this account: service roles are not merely externally imposed but are sites of genuine self-presentation, craft, and the construction of personal identity.²¹ Richard Sennett's related work on craftsmanship—the cultivation of skill, the pride of doing something well, the relational dimension of service work performed at high quality—extends the argument to the kinds of long-tenured service positions that anchor much of the ecosystem's domestic and hospitality infrastructure.²² The point is not that all participants in the lower rungs are willingly invested in their positions; many are not, and many enter the work under conditions of constrained alternatives that warrant the structural critique extraction-based accounts emphasise. The point is rather that the empirical population at every level of the hierarchy contains a substantial number of participants whose investment in their role is genuine, whose identification with the system is not false consciousness but coherent *habitus*, and whose displacement from the system would not constitute liberation but the dissolution of a structure within which meaning had been organised.

This does not exonerate the system of its inequalities, nor does it license complacency about the position of those most disadvantaged within it. It does, however, complicate the moral economy of the standard critique. The implication is not that inequality is desirable but that it is constitutive: exclusivity, as a structural matter, requires inequality definitionally rather than morally. A penthouse is only a penthouse because most people cannot have one. The signal that the exclusivity produces depends on the gap that exclusivity creates. Erase the gap and the signal disappears with it. The gap is not, in this sense, an unfortunate byproduct of the system's functioning. The gap is the system's functioning.

This reframing matters for the central thesis because it locates the inequality at the level of system architecture rather than at the level of unintended consequence. The filter is not a feature the city has acquired and might lose; it is the condition under which the network maintains its composition. The network's composition is the condition under which the city retains its global

²¹Erving Goffman, *The Presentation of Self in Everyday Life* (New York: Anchor Books, 1959).

²²Richard Sennett, *The Craftsman* (New Haven: Yale University Press, 2008).

significance. The inequality is therefore the condition of the significance. The filter is not a consequence of New York's global power. It is the condition of it.

That sentence is the hinge of the larger argument, and it deserves to be stated explicitly: the inequality and the influence are the same phenomenon, viewed at different stages of the same process. They cannot be separated, because the mechanism that produces the one is the mechanism that produces the other. Florida concedes the connection in passing—"inequality is not just an occasional bug of urban economies; it is a fundamental feature of them. It is driven by the same economic motor that powers growth"—before treating it as a problem to be solved.²³ The present essay accepts the description and rejects the solution-orientation. If the inequality and the growth are the same motor, then to address the inequality is to address the growth. To frame redistribution as a corrective overlay on a functioning system fundamentally misreads the architecture; pursued seriously, redistribution targets the operating mechanism itself.

Florida acknowledges as much in his treatment of the superstar urban tier: "Superstar cities and knowledge hubs are not just the theaters where inequality is most on display; their success is inextricably tied to the very clustering of talent and firms that shapes the widening gap between rich and poor."²⁴ The success and the gap are tied together. Glaeser pushes the argument further still: "Cities don't make people poor; they attract poor people... The presence of poverty in cities from Rio to Rotterdam reflects urban strength, not weakness... poverty often shows that a city is functioning well."²⁵ That sentence, written by a sympathetic urbanist rather than a critic, is the empirical reality the present essay theorises. The poverty is a sign of function, not malfunction. The function is the filter. The filter is the mechanism. The mechanism produces both the city's influence and its inequality, because they are the same output of the same process.

III. The Governance Inversion

If the inequality and the influence are the same phenomenon, what is the relationship between the municipality's formal democratic authority and the ecosystem it nominally administers? The standard framing of urban governance assumes that the state acts upon capital: the municipality taxes, regulates, zones, polices, and redistributes, and capital responds within the constraints the municipality imposes. This framing is not entirely wrong, but it inverts the

²³Florida, *The New Urban Crisis*, 85.

²⁴Florida, *The New Urban Crisis*, 79.

²⁵Glaeser, *Triumph of the City*, chs. 3, 9.

relationship that obtains in superstar cities at New York's scale. At sufficient ecosystem density, the relationship runs the other way. The ecosystem acts upon the municipality, in the sense that the municipality's viable policy space is bounded by what the ecosystem will tolerate before relocating.

Neil Brenner's "Global Cities, Glocal States" (1998) provides the analytic frame for this inversion at the urban scale. Brenner argues that the state has not eroded under globalisation but has been "rearticulated and reterritorialized in relation to both sub- and supra-state scales"—that is, the state's functions have been redistributed upward to supranational institutions and downward to urban regions, with the national level "hollowed out" in the process.²⁶ The unit of analysis appropriate to the present global economy, Brenner argues, is not the nation but the urban region: "cities—or, more precisely, large-scale urbanized regions—rather than the territorial economies of states are its most fundamental geographical units."²⁷ This implies that political-economy frameworks built around the nation-state operate at the wrong scale. They cannot see what is happening in New York because their unit of analysis is too coarse to register it.

Brenner is direct about the consequence for municipal governance. The "social costs of global city formation," he writes, "far exceed the regulatory capacities of the local state, which subsequently becomes the 'major loser' in a maelstrom of globally induced constraints."²⁸ The municipal government holds the form of democratic authority—mayor, council, budget, taxation, regulation—but its substantive capacity to act on the capital that flows through the city is sharply constrained by the mobility of that capital. "The more the economy becomes interdependent on the global scale," Brenner observes, "the less can regional and local governments, as they exist today, act upon the basic mechanisms that condition the daily life of their citizens."²⁹

The point can be sharpened. New York is not ungovernable in the sense of being too complex to administer. It is governed continuously: schools open, subways run, police deploy, zoning decisions issue, taxes are assessed and collected. The question is not whether governance occurs but what it can do. The municipal layer can act on the conditions under which the

²⁶Neil Brenner, "Global Cities, Glocal States: Global City Formation and State Territorial Restructuring in Contemporary Europe," *Review of International Political Economy* 5, no. 1 (1998): 1–37.

²⁷Brenner, "Global Cities, Glocal States."

²⁸Brenner, "Global Cities, Glocal States."

²⁹Brenner, "Global Cities, Glocal States."

ecosystem operates—infrastructure, public safety, education, transit, the basic facilities of a functioning city—but it cannot act against the ecosystem itself without losing it.

To attempt redistribution sufficient to compress the wealth gap the ecosystem produces is to degrade the exclusivity signal that the gap was generating, which is to degrade the network's value, which is to invite the network to relocate. The ecosystem does not respond to such pressure politically. It does not lobby. It does not threaten. It does not vote. It simply, gradually, begins to leave.

This produces a relationship in which the formal governing authority is structurally subordinate to the entity it nominally governs. The municipality has the instruments of democratic power, but its viable use of those instruments is bounded by what the ecosystem will tolerate. If government remains useful and non-threatening to the filter, the ecosystem remains; if government threatens the filter, the ecosystem leaves; in either case, the ecosystem—not the government—is the determining variable. The municipal layer is, in effect, facilities management for a system whose centre of gravity exists outside the reach of municipal politics. This is not a moral claim about whose interests should prevail. It is an empirical claim about which entity is structurally dependent on which.

The historical evidence for the inversion is unusually clean if one tracks the relationship between mayoral administrations and the ecosystem's trajectory over the past half-century. The fiscal crisis of 1975 represented the moment at which the manufacturing-era ecosystem New York had been built upon decisively dissolved. Between 1969 and 1976, the city lost approximately 1,000 industrial firms per year and 500,000 manufacturing jobs; unemployment reached ten percent; the city lost roughly one million residents by the end of the decade and was placed under the Emergency Financial Control Board after defaulting on its obligations.³⁰

Edward Koch's administration responded by deliberately reorienting the city toward finance, insurance, and real estate—the FIRE economy—through subsidy, deregulation, and the prioritisation of high-end commercial development over the manufacturing base that had collapsed. This was not, properly speaking, the design of a filtering mechanism. It was a survival strategy. The filter was a downstream consequence of a set of choices about how to reconstitute a dying city.

³⁰On the 1975 fiscal crisis and the manufacturing collapse, see Jonathan Soffer, *Ed Koch and the Rebuilding of New York City* (New York: Columbia University Press, 2010); and Federal Reserve Bank of New York, "New York City's Return from the Brink," remarks by William Dudley, October 19, 2016.

Michael Bloomberg's tenure between 2002 and 2013 represents the inversion in its purest form. Bloomberg inherited a city already reconstituted around the FIRE economy and explicitly optimised municipal policy for it. Roughly forty percent of the city's landmass was rezoned during his tenure, much of it to facilitate luxury residential development, with the explicit objective of attracting and retaining the high-income population the ecosystem required.³¹ In his own framing, Bloomberg sought to make New York maximally attractive to the high-income stratum on the grounds that the high-income stratum was what made New York what it was. The historiographical point is that Bloomberg did not create the filtering mechanism. The filter was already operating; Bloomberg optimised the municipal layer to align with what the ecosystem required of its host city.

Bill de Blasio's administration tested the inversion from the opposite direction. Elected on a "tale of two cities" platform, de Blasio pursued substantively redistributive policies: higher taxes on the wealthy, expanded affordable housing, universal pre-kindergarten, minimum wage increases. The ecosystem's response was not political resistance but quiet directional pressure—an acceleration of primary-residence shifts to Florida, a sharpening of complaints from the financial sector about the city's policy trajectory, and, after 2017, the compounding effect of the federal SALT cap, which limited state and local tax deductions to \$10,000 and effectively raised the federal cost of remaining in New York for high earners. The migration that crystallised after 2020 had been building, slowly, for several years before the pandemic accelerated it. The pattern is consistent: administrations that optimise for the ecosystem find it deepening; administrations that work against it find it signalling, and ultimately partially leaving. The municipal layer does not determine the outcome. The ecosystem does, and the municipal layer is judged in retrospect by whether it correctly read the constraint.

Quentin Slobodian's "Globalists" (2018) provides a useful comparative reference at this point, though it should not be allowed to do the central analytical work. Slobodian rewrote the standard history of neoliberalism by arguing that the neoliberal project was not, properly speaking, anti-state but anti-democratic: its objective was not the elimination of government but the construction of supranational institutions—the WTO, EU competition law, the international investment treaty architecture—that would "encase" market activity above the level at which democratic interference could reach it.³² The state, on Slobodian's reading, was

³¹Alex F. Schwartz, "Bloomberg: The Neo-Liberal Economic Developer?" *Journal of Applied Research in Economic Development* (2014).

³²Quentin Slobodian, *Globalists: The End of Empire and the Birth of Neoliberalism* (Cambridge, MA: Harvard University Press, 2018).

not weakened; it was reorganised to operate at a level at which voter pressure could no longer effectively constrain it.

The analogy with the present argument is structural rather than direct. Slobodian's encasing occurred through designed international institutions, the product of decades of intellectual effort by a cohesive movement. The encasing visible in New York is not designed in this sense. No coalition deliberately constructed a class-stratification mechanism in Manhattan; the filter emerged from millions of individual decisions—every hedge fund that chose Midtown, every luxury tower that was approved, every policy that prioritised finance over manufacturing, every cultural institution that located near its donors—none of which were intended to produce a filtering ecosystem but which collectively did. The encasing here is structural and emergent rather than institutional and designed. The political implication is similar in spirit but harder, not easier, to address: an encasing that no one designed is more difficult to dismantle than one that some identifiable coalition built, because there is no single decision to reverse and no single institution to reform.

Eric Helleiner's post-crisis review of international political economy provides the disciplinary frame within which this argument should be situated. Helleiner argued, in 2011, that the discipline had systematically undertheorised the structural power of private financial actors—that political economy had remained oriented toward states and international institutions even as the 2008 crisis demonstrated how thoroughly private capital had escaped the analytic frameworks the discipline brought to bear on it.³³ Helleiner's critique applies, with even greater force, at the urban scale, where political economy has barely engaged at all. The discipline's reigning frameworks treat New York as a place that contains capital rather than as the operative ecosystem itself. The municipal government, with its formal democratic authority, is treated as the relevant analytical actor, but its actual capacity to govern the transnational capital that flows through the city is far more limited than the frameworks acknowledge. This essay is, in the disciplinary sense, an attempt to extend Helleiner's diagnostic downward. The gap between what political economy theorises and what is actually happening is not confined to the international scale. It runs through the urban scale as well, and arguably more acutely, because the urban scale is where the resulting inequalities become most visible and where the gap between formal democratic authority and substantive policy capacity is most pronounced.

³³Eric Helleiner, "Understanding the 2007–2008 Global Financial Crisis: Lessons for Scholars of International Political Economy," *Annual Review of Political Science* 14 (2011): 67–87.

IV. The Asymmetry of Crisis

An ecosystem structurally resistant to redistribution still absorbs some pressures and not others, and the difference is not arbitrary. It absorbs external crises—recessions, pandemics, wars, crime waves, terror attacks—with remarkable durability, while it responds to sustained directional pressure on the filter itself with gradual but real migration. The distinction identifies what threatens the system and what does not.

External crises hit the qualifying population and the non-qualifying population asymmetrically. The wealthy possess private reserves, offshore assets, secondary residences, and social networks that make collective crises feel distant and manageable. The Second World War is the canonical illustration: rationing, scarcity, labour shortages, and the destruction of European wealth hit the middle and working classes severely, while the very wealthy in many cases continued to prosper, sometimes substantially, through arms manufacturing, financial intermediation, and the relative protection of country estates and private capital reserves. The gap did not close during the war; in important respects, it widened.

The same asymmetry held during the 2008 financial crisis. The bailouts that prevented systemic collapse also prevented the wealthy from absorbing the consequences of the risk-taking that had produced the crisis, while the middle and working classes absorbed the foreclosures, the unemployment, and the slow recovery. The pandemic produced the same pattern in compressed form. The wealthy decamped to second homes, accessed private healthcare, and continued operating professionally through remote work; the lower-income population absorbed the elevated mortality, the job losses in service sectors, the housing instability, and the disruption of public schooling.

New York's financial sector, far from collapsing during the pandemic, emerged from it stronger. Its billionaire population continued to grow through the recovery, and the Wall Street bonus pool reached a record \$49.2 billion in 2025, the highest since the state began tracking the figure in 1987.³⁴ These are not signs of an ecosystem in retreat. They are signs of an ecosystem that has metabolised the crisis without losing its core composition.

The implication is structural. External shocks do not threaten the filter because they do not target the gap between qualifier and non-qualifier; they hit the surrounding population, often disproportionately, while leaving the in-group sufficiently insulated to continue operating. In

³⁴Office of the New York State Comptroller, annual estimate of securities-industry bonuses, March 2026. The 2025 bonus pool of \$49.2 billion is the highest since the Comptroller began tracking the figure in 1987; the 2024 pool of \$47.5 billion set the prior record.

some cases the filter sharpens during crisis: marginal participants in the ecosystem fall out of qualification, while the core retains its position and its access to other core participants. The crisis, paradoxically, can concentrate the network further.

Sustained policy pressure aimed at compressing the wealth gap is a different category of intervention entirely. It is the only intervention that directly targets the filter itself rather than the population around it. Modest progressive taxation within the existing structural arrangements does not, on the available evidence, trigger ecosystem migration; the post-2017 SALT cap caused some migration, but the core financial cluster held. The threat is not modest redistribution. The threat is sustained directional pressure toward accessibility—the cumulative effect of multiple policies, sustained over multiple administrations, each individually survivable but collectively eroding the exclusivity signal that makes the city worth its premium. The erosion is gradual; so is the response. But the response compounds, and at some point—which cannot be specified *ex ante*—the cumulative thinning reaches a density below which the self-reinforcing loop begins to weaken, and the rate of departure accelerates.

This produces a clean three-part structure for understanding the ecosystem’s vulnerability profile. External shocks do not touch the filter because they hit the surrounding population asymmetrically. The wealthy self-insulate from collective crises through private resources. Only sustained, directional policy pressure aimed at the gap itself constitutes a genuine threat to the mechanism. Recessions, pandemics, and even wars have repeatedly failed to dislodge the ecosystem; redistribution targeted at the structure of inequality is the only intervention that has historically succeeded in dispersing similar systems. This is not an argument for or against redistribution. It is an empirical observation about which interventions reach the operating mechanism and which do not.

V. The Migration

The pressing empirical question is whether the only pressure that reaches the filter—sustained movement toward accessibility—is producing measurable effects yet. On the post-2020 record, it appears to be. Florida hedge fund launches rose from approximately three percent of all United States hedge fund launches in 2020 to roughly eleven percent in 2024—a near-

quadrupling in four years that constitutes the first measurable contemporary evidence that the directional erosion model is operating in real time.³⁵

The data is unusually clean for a phenomenon of this kind. Between 2016 and 2019—before the pandemic, before remote work normalisation, before the most aggressive phase of the de Blasio administration—approximately seventy hedge funds and financial firms had already relocated from New York to Palm Beach County alone.³⁶ More than three hundred hedge funds and financial firms now operate in Palm Beach County, managing approximately \$300 billion in assets.³⁷ Florida saw the largest single-year increase in registered investment advisor registrations of any state between April 2020 and April 2021, a roughly five percent rise in twelve months.³⁸

The named relocations anchor the data. Ken Griffin moved Citadel’s headquarters from Chicago to Miami in 2022, building a fifty-four-story waterfront headquarters and adding several hundred Florida employees. Carl Icahn relocated Icahn Enterprises in 2020. Elliott Management moved its headquarters to West Palm Beach the same year. Goldman Sachs, Blackstone, and Peter Thiel’s Founders Fund have all opened Miami offices since 2020.³⁹ These are not marginal participants. They are central nodes of the New York financial ecosystem, and their decisions carry signalling value for the wider network beyond their direct employment footprint.

The interpretive frame in which this migration should be read is structurally important. The conventional account treats it as a tax-arbitrage phenomenon: wealthy individuals and firms relocating to Florida because the state has no personal income tax, the federal SALT cap raised the cost of remaining in New York, and the pandemic normalised remote work sufficiently to make geographic flexibility viable. This account is not wrong, but it is insufficient. The standard framing treats the migration as composed of individual rational actors making individual tax decisions. The present argument is that it is, more accurately, ecosystem migration: the whole cluster moving together because the cluster is the point.

³⁵Borealis Strategic Capital Partners data, reported in “NYC Retains Standing as US Hedge Fund Capital Despite Florida’s Rise,” *Hedgeweek*, January 2025. Florida accounted for about 11% of U.S. hedge fund launches in 2024, up from 3% in 2020.

³⁶Palm Beach Hedge Fund Association, “Is Florida Now the Second Capital for Hedge Funds?”

³⁷Palm Beach Hedge Fund Association; and Kaufman Rossin, “Wall Street of the South,” January 2023.

³⁸“Wall Street South Beckons Financial Services Firms,” *InvestmentNews*.

³⁹On the named relocations, see “NYC Retains Standing as US Hedge Fund Capital Despite Florida’s Rise,” *Hedgeweek*, January 2025; and Prospect Rock Partners, “The Rise of Wall Street South.” Citadel announced its Miami headquarters relocation in June 2022.

The luxury hotel follows the wealthy residents because the wealthy residents are its customers. The cultural event follows the luxury hotel because that is where the patronage is. The startup follows the network because the network is where the deals occur. The artist follows the money because the money is where the commissions are. The migration is not sector by sector. It is the whole interdependent system shifting its centre of gravity in coordinated fashion.

Miami is, on this reading, the most credible competing node, though it has not yet achieved New York's network depth and is unlikely to do so on a short horizon. Austin, often mentioned in the same breath, is a less credible competitor because it has tech density but lacks the full stack. It has neither the financial infrastructure, the cultural institutions, the global art market, the legal architecture for transnational corporate practice, nor the cosmopolitan international population that the ecosystem requires. Miami, by contrast, has been deliberately positioning itself as a cultural capital for over a decade through Art Basel Miami Beach, the real estate boom, the ongoing finance migration, and the explicit strategic effort of municipal and state leadership to attract relocations. It has the climate, the luxury infrastructure, the international capital, and crucially the cultural ambition. It is not yet New York, but it is the only city structurally on a trajectory that could plausibly compete for the ecosystem at scale within a generation.

New York's core, it must be acknowledged, has held. The financial sector did not collapse. The cultural institutions remained. The billionaire count grew. The bonus pool reached record levels. The vast majority of portfolio managers and investment professionals remain in Manhattan even at firms now headquartered elsewhere. Both findings—the core's durability and the periphery's migration—are simultaneously true, and they are not in tension. They are precisely what the directional erosion model predicts.

It is worth being explicit about what would count against the model rather than for it, since a thesis that treats every outcome as confirmation explains nothing. The model is wrong if the migration reverses while New York's relative tax and regulatory burden stays high or rises—if, that is, the cluster returns or fails to grow elsewhere despite a widening cost gap—or if a city subjected to sustained compression of the wealth gap retains full ecosystem density over decades rather than thinning. The claim is falsifiable on those terms. The post-2020 data is so far consistent with it, not a tautological restatement of it. The thesis is not that New York is collapsing; it is that the structural pressure that would, over time, weaken the network is already detectable in the record, that the migration is not a tax-arbitrage curiosity but the early phase of

an ecosystem-scale shift, and that the conventional framing has not yet caught up to what the data is showing.

VI. The Historical Pattern

The post-2020 migration becomes fully legible only when situated within a longer historical pattern. The dominant global financial centre has moved exactly three times in the past four hundred years, and the moves track—with remarkable consistency—the underlying economic dominance of the host state. The relationship between the city and the surrounding political economy is not coincidental. The city is the financial expression of the dominant power. When the dominant power shifts, the financial centre follows.

Amsterdam was the dominant financial centre in the seventeenth and eighteenth centuries. The Dutch East India Company, the Bank of Amsterdam, and the world's first stock exchange were established there; the institutional infrastructure was, by the standards of the period, unparalleled. But Amsterdam's merchant elite was insular—dominated by a closed circle of Dutch Reformed families suspicious of religious and ethnic outsiders. When London began to welcome Jewish merchants displaced from Iberia, French Huguenots fleeing the revocation of the Edict of Nantes, and Dutch financiers themselves after the Glorious Revolution of 1688, it offered an institutional infrastructure broadly comparable to Amsterdam's but with a network that could scale beyond ethnic and confessional boundaries. The ecosystem migrated. Amsterdam did not disappear; it merely ceased to be the address.

London assumed dominance in the nineteenth and early twentieth centuries, in coordination with Britain's rise to imperial and economic supremacy. The relationship was symbiotic: London's financial centrality was a function of British power, and British power was reinforced by London's financial centrality. By 1913, on the eve of the First World War, the four leading financial centres of the world—London, Paris, Berlin, and New York—corresponded with precision to the four leading economies. The First and Second World Wars disrupted this configuration definitively. Britain moved from the world's largest creditor to a debtor nation, while the American economy, which had already surpassed Britain's by 1905, emerged from the wars as the unchallenged dominant power. The ecosystem migrated again. New York assumed the position London had held.

The U.S. Department of State’s own economic history of these transitions states the pattern with unusual directness: “Each of the three cities successively ranked top in world finance—Amsterdam in the eighteenth century, London in the nineteenth, and New York ever since—has at the same time been the financial capital of the dominant economic power of the day.”⁴⁰ The financial centre is not loyal to the city. It is loyal to the conditions. When the conditions shift, the centre relocates.

Two contemporary data points illustrate the durability and the fragility of this pattern simultaneously. The first is Tokyo. Through the 1980s, Tokyo was widely considered a serious competitor to New York and London for global financial centrality. The collapse of the Japanese asset price bubble in the early 1990s, the subsequent banking crisis, and the long stagnation that followed eroded Tokyo’s position substantially. The yen lost its share of world currency turnover; Japanese banks lost their global presence; the ecosystem thinned and never fully reconstituted at the same level. Tokyo retained world-class institutions, infrastructure, and talent. It lost dominance anyway, because the underlying economic conditions had shifted.

The second data point is Brexit. On 1 January 2021, the first trading day after the United Kingdom’s exit from the European Union’s single market, London lost approximately forty-five percent of its usual stock trading volume in a single day. Amsterdam reclaimed its position as Europe’s top share trading hub, overtaking London, Paris, Frankfurt, and Milan almost overnight—a city that had been sixth in European share trading two months earlier became first.⁴¹ The ecosystem did not lobby. It did not negotiate. It did not threaten. It simply moved, in a matter of days, to the next most viable address. The historical pattern of slow succession over centuries here compressed into a matter of hours, demonstrating the underlying logic in its sharpest form: when the conditions change, the address changes.

The State Department’s economic history concludes with a sentence that bears on the entire argument: “It is not easy to become a leading financial center—but it is also not guaranteed that once you become one, you will continue to be one.”⁴² The ecosystem is mobile. The city is its current address. The historical record contains exactly three previous addresses and no examples of permanent residence.

⁴⁰U.S. Department of State, “Understanding New York City’s Dominance in Global Finance,” December 1, 2020.

⁴¹“Amsterdam Ousts London as Europe’s Top Share Hub,” *The Conversation*, March 2021. Public data for 1 January 2021 showed London losing almost 45% of its usual share-trading volume; Amsterdam, previously sixth in Europe, became the largest hub.

⁴²U.S. Department of State, “Understanding New York City’s Dominance in Global Finance,” December 1, 2020.

VII. Mortality

If addresses change, the question is what becomes of the cities they leave behind. The succession of financial centres demonstrates that ecosystems migrate; the case of Detroit demonstrates what becomes of a city whose ecosystem dispersed without finding a successor industry to host it. Detroit in 1950 was the most productive industrial city in the world. It held the highest manufacturing wages in the United States, the headquarters of the three largest automakers, and a dense network of suppliers, engineers, and skilled tradespeople, alongside the institutional infrastructure—technical schools, professional associations, financial intermediaries, suppliers of specialised equipment—that supported all of it. Detroit was, in its industrial domain, structurally analogous to what New York is in finance: the dominant node of a global production system, sustained by network effects, attracting talent and capital from across the country and beyond.

Then the network began to thin. Manufacturers began relocating production to lower-cost regions of the South and, eventually, abroad. Skilled workers followed the jobs. The middle class moved to suburbs. The tax base eroded. City services declined. More residents left because services had declined. Property values collapsed. Businesses closed because customers were gone. More residents left. Each departure raised the probability of the next departure. The self-reinforcing loop that had built Detroit reversed and became a self-reinforcing decline. By 2013, Detroit filed the largest municipal bankruptcy in American history. A city that had once held 1.8 million people held fewer than 700,000.⁴³

The structural point is that Detroit did not lose its buildings. The physical infrastructure—the factories, the houses, the roads, the schools—was still there. What left was the ecosystem of people, institutions, capital, and relationships that had made the city productive. And once that ecosystem crossed a certain threshold of thinness, it could not reconstitute itself, because networks have minimum viable density. Below a certain concentration, the spillovers Moretti describes stop operating; the clustering advantages Glaeser identifies disappear; the agglomeration economies Sassen analyses cease to compound. Below the threshold, there is no longer a reason to be there rather than somewhere cheaper.

Florida states the contemporary analogue with unusual directness: “Our superstar cities and tech hubs will become so expensive that they will turn into gilded and gated communities, their

⁴³Detroit’s population peaked near 1.85 million in 1950 and had fallen below 700,000 by its 2013 bankruptcy, the largest municipal bankruptcy in U.S. history. Cf. Florida, *The New Urban Crisis*, 116.

innovative and creative sparks will eventually fade, and they will price out the essential service workers needed to keep their economies running.”⁴⁴ The endpoint Florida describes is the same endpoint Detroit illustrates from the other direction: an ecosystem that has lost the conditions for its own reproduction. The mechanism of decline differs—Detroit’s thinned through industrial flight, New York’s would thin through excessive filtering or sustained redistributive pressure—but the structural outcome is the same. Below minimum viable density, the network ceases to be a network.

This is the precise sense in which the present essay describes New York as mortal. The argument is not that the city will collapse, or that collapse is imminent. The argument is structural: ecosystems that depend on density for their value are vulnerable to processes that reduce density, and there is no version of the system in which this vulnerability is absent. Detroit in 1955 felt permanent. New York currently feels permanent. The feeling is not evidence. The Amsterdam succession, the London succession, the Tokyo erosion, and the Detroit dissolution are evidence. Ecosystems can die. They die when their networks thin below the threshold at which density-dependent returns continue to compound. There is no reason in principle that New York is exempt from this dynamic, and the post-2020 data suggests the thinning has begun, even if the core has so far held.

VIII. The Address

The cumulative argument supports a thesis more precise than its initial statement. New York is not, properly, a city that contains a capital ecosystem. New York is the current address of a capital ecosystem that has occupied prior addresses and will, in the long historical view, occupy further ones. The municipal frameworks that nominally govern the city are structurally dependent on the ecosystem that has chosen to locate within them, and their viable policy space is bounded by what the ecosystem will tolerate before relocating. The inequality the city produces is not a malfunction that policy can correct without consequence. It is the operating mechanism of the network whose presence is the source of the city’s global significance. To act decisively against the inequality is to act against the network. To act against the network is to invite the address to change.

⁴⁴Florida, *The New Urban Crisis*, 173.

This produces an analytical conclusion that political-economy frameworks built on the nation-state struggle to accommodate. The state is not, at the urban scale, the independent variable acting on capital as an external object. The state is the dependent variable, acting within constraints set by the mobility of the capital it nominally governs. Brenner's argument that "the scales of capital accumulation have never coincided exactly with those of state territorial organization, but the most recent round of globalization has intensified this scalar disjuncture to an historically unprecedented degree"⁴⁵ identifies the disjuncture. The present essay locates it most acutely at the urban scale, where the formal democratic authority of the municipality is most visible and the substantive capacity of the municipality to govern transnational capital is most constrained.

It does not follow that nothing can be done. Modest redistribution within the existing structural arrangements is empirically tolerable; New York has absorbed substantial taxation, regulation, and policy intervention without losing its core ecosystem. What the analysis does suggest is that policy interventions aimed at compressing the wealth gap itself—as distinct from interventions aimed at improving the conditions of the surrounding population without altering the structural relationship between qualifier and non-qualifier—operate against the mechanism that produces the network's value, and that such interventions, sustained over time, will eventually produce one of two outcomes.

The first is that the network thins and the address changes, in which case the city loses the global significance that made it worth governing in the first place. The second is that the structural pressure of capital concentration proves stronger than the policy intended to compress it, in which case the inequality persists despite the intervention. Toronto offers an instructive illustration of the second outcome. Substantial redistributive policy, universal healthcare, significant affordable housing investment, and a strong public sector have not produced an equal Toronto. They have produced a Toronto that retains substantial inequality without achieving New York's global dominance—the costs of the ecosystem without its full benefits.

It is worth pausing on the obvious counter-examples here, because they sharpen rather than weaken the argument. London and Singapore are sometimes invoked as evidence that a global financial centre can exist without producing inequality at New York's scale, or that a city can sustain high finance under a different cultural and political configuration. The comparison is

⁴⁵Brenner, "Global Cities, Global States."

instructive, but for different reasons than the counter-argument typically supposes. London and Singapore both contain extreme inequality of their own; neither has been able to compress the wealth gap through policy any more successfully than New York. What they have failed to achieve is not equality but New York's full-stack network depth. London has finance and culture, but its cultural infrastructure operates at a smaller scale and is less tightly integrated with its financial sector. Singapore has finance and global capital flows, but lacks the cultural, creative, and institutional density that compounds with finance in New York. The cultural composition of these cities—the absence of a Met Gala equivalent, of Broadway, of the global art market at the New York scale, of the international population that gives New York its cosmopolitan character—limits the depth of their ecosystems in ways that policy does not directly address. The lesson is not that these cities prove redistribution can coexist with global dominance. The lesson is that global dominance at New York's scale requires a specific cultural and structural composition that cannot be manufactured through municipal policy alone, regardless of the redistributive regime.

The model predicts both Toronto outcomes—network thinning or persistent inequality—and the London and Singapore comparisons reinforce rather than refute it. It does not predict that redistribution produces equality at superstar-city scale. There is no empirical case in which it has.

The implication for political economy as a discipline is that the unit of analysis requires adjustment. The frameworks the field has inherited—frameworks that assume capital can be governed by the state in which it resides—operate on assumptions that the global city violates. Helleiner's critique that private financial power has been systematically undertheorised becomes more, not less, urgent at the urban scale, because the urban scale is where the substantive limits of formal democratic authority become most visible. The discipline's tradition of treating the nation-state as the relevant actor and capital as the object of governance misreads the contemporary global city. The city is the operative entity. The state is what manages the conditions under which the city retains its ecosystem. The ecosystem is what decides whether to remain.

New York, in this analysis, is the clearest contemporary illustration of capital concentrations that do not merely exist somewhere but actively create the conditions for their own existence and reproduction—and that, in doing so, render the conventional frameworks of democratic governance structurally insufficient to the entity they confront. Whether the address holds,

thins, or eventually changes is not, on this argument, a question of policy alone. It is a question of whether enough of the network coordinates a partial migration that the centre of gravity outweighs the present location. The ecosystem will outlive any specific city. The question is only which city is currently its address. For the past century, the answer has been New York. The historical record contains no reason to assume the answer is permanent.

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